Prepared by ATCO for its own underwriting. This is not a third-party market study or an appraisal, and it is not a substitute for a NIC MAP pull or a study commissioned from CBRE, JLL or a similar firm.

MARKET STUDY: FLORHAM PARK

Former ASCO HQ AL/MC pad · Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres

Finding: Supported, thin. The 7-mile market has the deepest income-qualified 75+ base of the five sites and the strongest Class A rents. The project needs about 30% of unmet AL/MC demand at a 10% need rate (16% at 12%). That is above the 10–15% lenders like, so the deal works only with pre-leasing and a confirmed rate shop. Woodmont's approved Parsippany building is the swing factor: if it is built, capture rises to about 38%.

AGE 75+ IN THE PMA	INCOME-QUALIFIED 75+ HOUSEHOLDS	COMPETITIVE AL/MC UNITS + PIPELINE
28,680	**11,894**	**1,129 + 80**

AL/MC CAPTURE · 10% (12%) NEED	PENETRATION WITH THIS PROJECT	MODEL AL RENT VS CLASS A MEDIAN
30% (16%)	**11.1%**	**$10,780 vs $9,971**

1 · PRIMARY MARKET AREA

7-mile radius (about 15-20 minutes), the Morris 'golden triangle' plus West Essex and the Summit corridor. Matches the 7-mile, tract-level market already used in the site dossier. Route 24 and I-287 tie Florham Park to Madison, Chatham, Morristown and Summit; Route 10 to Livingston and East Hanover. Adult children in these towns are the main referral source.

TOWN	POPULATION COUNTED	75+ (EST.)	65+ HOUSEHOLD MEDIAN INCOME
Florham Park	12,585	983	$114,471 07932
Madison	16,937	1,323	$95,556 07940
Chatham Borough	9,212	719	$108,081 07928
Chatham Township	10,983	858	$108,081 07928
East Hanover	11,157	871	$95,375 07936
Hanover Township (Whippany, Cedar Knolls)	14,677	1,146	$88,889 07981
Morris Plains	6,153	480	$87,852 07950
Morris Township	22,974	1,794	$123,869 07960
Morristown	20,180	1,576	$123,869 07960
Harding	3,871	302	–
Parsippany-Troy Hills (south half) (50%)	28,081	2,193	$67,847 07054
Livingston	31,330	1,778	$132,875 07039
Roseland	6,299	357	$92,162 07068
Millburn / Short Hills	21,710	1,232	–
West Orange (west half) (50%)	24,422	1,386	–
Summit	22,719	1,384	$88,429 07901
New Providence	13,650	832	–
PMA, town method	**276,940**	**19,214**	**$103,107**

Population: 2020 Census, rounded. 75+ by town is the county's 75+ share applied to town population, which understates affluent suburbs. 65+ medians: ACS 2024 5-year by ZIP, weighted by estimated 75+ population.

2 · AGE 75+ DEMOGRAPHICS AND INCOME QUALIFICATION

Age 75+ in the PMA (tract-level ACS, 7-mile ring)	**28,680**
75+ households (0.67 per person)	19,216
Share of 65+ households with income ≥ $75,000 (≥ $100,000 · ≥ $150,000)	62% (51% · 37%)
Income-qualified 75+ households (≥ $75,000, before home equity)	**11,894**

Primary figures are tract-level ACS 2024 (B01001, B19037) within 7 miles. The town method gives 19,214 people 75+ and a 61% qualified share for the same area; this ratio (1.49x) calibrates the other four studies. A $75,000 floor with home equity supports roughly $9,000–10,000 a month of AL for 4–5 years in markets with $550,000+ home values.

3 · EXISTING COMPETITIVE SUPPLY

COMMUNITY	TOWN	TYPE	UNITS / BEDS	OPENED
Brighton Gardens of Florham Park	Florham Park	AL/MC	116	1997
Brookdale Florham Park	Florham Park	AL	68	—
The Delaney at The Green (AL/MC share of 220)	Florham Park	AL/MC	70 est.	2021
Arden Courts of Whippany	Hanover Twp	MC	60	—
Weston Assisted Living	Hanover Twp	AL	60	—
Lester Senior Housing (AL)	Hanover Twp	AL	55	—
CareOne at Morris (AL)	Parsippany	AL	61	—
Juniper Village at Chatham	Chatham	AL/MC	95	—
Spring Hills Morristown	Morristown	AL/MC	104	—
Sunrise of Madison	Madison	AL/MC	80	—
Sunrise of Morris Plains	Morris Plains	AL/MC	90	—
Sunrise of Livingston	Livingston	AL/MC	100 est.	—
CareOne at Livingston (AL)	Livingston	AL	80 est.	—
Spring Hills Livingston	Livingston	AL/MC	90 est.	—
Existing competitive AL/MC			**1,129**	

Source: Morris County Housing Options 2024 (licensed AL residences and units); operator and press releases for Essex and Union. "est." marks ATCO estimates where capacity is not published.

4 · PIPELINE

PROJECT	PROGRAM	UNITS	MILES	STATUS	TREATMENT
Arbor Terrace Florham Park	AL/MC	80	1.2	100-bed ERCN May 2024; construction from Oct 2026	**Counted**
Woodmont Senior Living, 79 Interpace Pkwy, Parsippany	AL/MC (of 150 total)	80	5.1	Site plan approved Oct 2022 (52 AL + 28 MC + 70 IL); nothing built or financed since	**Contingent: sensitivity**
Benchmark at Cedar Grove	IL/AL/MC	138	8.7	Under construction since June 2025; opens 2027	**Outside PMA: not counted**
Peapack Senior Living, 400 Essex Blvd	AL/MC	96	15.6	Expedited CN July 10, 2026 (115 beds, 32 dementia); $57.2M	**Outside PMA: not counted**

Woodmont Parsippany's 80 AL/MC units are approved but unbuilt, so they are treated as contingent supply. Peapack Senior Living (CN July 2026) and Benchmark Cedar Grove are tracked for both Morris County studies.

5 · DEMAND, PENETRATION AND CAPTURE

	BASE
AL/MC demand at a 10% need rate ÷ 75% PMA share	1,586
Less existing and counted pipeline	−1,209
Unmet AL/MC demand	**377**
Capture needed for 114 AL/MC units, 10% need	**30%**
Capture at a 12% need rate	16%
Capture if contingent supply is built (+80 units)	38%
Penetration today (existing + pipeline ÷ qualified households)	10.2%
Penetration with this project	11.1%

Benchmarks: lenders want project capture under 10–15% for AL/MC and treat over 25% as a red flag; AL penetration of 6–10% of qualified households is typical of mature markets. Demand uses tract-level ACS counts, so no calibrated range is needed.

NEED RATE (SHARE OF QUALIFIED 75+ HOUSEHOLDS NEEDING AL/MC)	8%	10%	12%	14%
Capture, base supply	> 100%	30%	16%	11%
Capture with contingent supply	no unmet demand	38%	19%	12%

6 · RENT COMPARABLES

COMMUNITY	TOWN	LISTED AL FROM	NOTE
This site (model, private-pay AL)	**—**	**$10,780**	**8% vs Class A median**
The Delaney at The Green	Florham Park	$10,800	Class A, opened 2020s
Sunrise of Livingston	Livingston	$9,971	Class A
Sunrise of Mountain Lakes	Mountain Lakes	$9,971	Class A
Sunrise of Summit	Summit	$9,546	Class A
Sunrise of Madison	Madison	$9,333	Class A
Brookdale Florham Park	Florham Park	$7,450	Older
Juniper Village at Chatham	Chatham	$7,135	Older
Brighton Gardens of Florham Park	Florham Park	$6,962	Older
Benchmark at Roseland	Roseland	$6,900	Older

Listed starting prices from public directories, before level-of-care fees ($1,000–3,500 a month); not a rate shop. Sources: Caring.com Florham Park listings (listed monthly prices, Nov 2026; not a rate shop).

7 · ABSORPTION

The model assumes 30 months to stabilization, about 3.5 net move-ins a month. That is at the 2–4 a month industry norm. With capture near 30%, pre-leasing of 30–40% of AL units before opening (deposits from a priority list) is the main mitigant. Implied pace for the AL/MC wing: about 3.5 net move-ins a month to 91% occupancy in 30 months.

8 · FINDINGS AND NEXT STEPS

- Rents are supported: the model's $10,780 private-pay AL rate sits 8% above the Class A median ($9,971) and below The Delaney at The Green ($10,800).
- Much of the stock is older product listing at $6,900–7,450 (Brighton Gardens, Brookdale, Juniper Village, Benchmark Roseland). The Delaney at The Green is the newest Class A building, so a new building competes on product, not just price.
- Arbor Terrace Florham Park (80 AL/MC, under construction) is counted. Benchmark Cedar Grove (about 9 miles) and Peapack Senior Living (about 15 miles) sit outside the PMA and are not counted, but both draw from the same adult-child catchment and should be tracked as lease-up comps.

1. Buy a NIC MAP PMA pull (occupancy, rents, pipeline) for the 7-mile ring before LOI.
2. Call Woodmont: a JV or purchase of its approval removes the largest supply risk.
3. Rate shop the nine comps, including care-level fees.

METHOD, SOURCES AND LIMITS

Demand follows the standard AL/MC method: income-qualified 75+ households × share needing help with daily living ÷ share of move-ins from the PMA, less existing and pipeline competitive units (see /method). National context: NIC MAP reports senior housing occupancy above 90% in 3Q26 and the fewest units under construction since 2012; CBRE's H1 2026 survey puts Class A AL cap rates at 6.5% and says new development needs rents 15–20% above market. **NIC MAP PMA data (property-level occupancy, rents and pipeline) is not available to ATCO**; occupancy above comes from New York State DOH filings where they exist. CoStar was not used. Census API access was not available, so 75+ counts outside Florham Park are estimates calibrated to Florham Park's tract data. Every [est.] figure should be replaced by a NIC MAP pull or a third-party study before LOI. ATCO is not affiliated with RiverSpring Living; RiverSpring is referenced only as the inspiration for the program.

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